



Contingent consideration

Introduction

Contingent consideration is frequently employed in business combinations to bridge the valuation gap between the acquirer and the seller. It also helps to align the economic interests of the parties towards a successful deal. Contingent consideration helps to reduce the risk that the seller is exploiting the acquirer based on the seller's insider information of the business. By accepting contingent consideration, the seller accepts part of the business risk along with the acquirer. Accordingly, contingent consideration serves as a solution in many merger and acquisition deals. It is therefore important to understand the accounting implications of contingent consideration in mergers and acquisitions. HKFRS 3 requires contingent consideration to be recorded at fair value on the date of acquisition. This article discusses the initial classification and the subsequent accounting of the contingent consideration.

Contingent consideration as part of purchase consideration

HKFRS 3 "Business Combination" requires the acquirer, having recognised the identifiable assets, the liabilities and any non-controlling interests, to identify any differences between:

- (a) the aggregate of the consideration transferred, any non-controlling interest in the acquiree and, in a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree; and
- (b) the net identifiable assets acquired.

The difference will, generally, be recognised as goodwill. If the acquirer has made a gain from a bargain purchase that gain is recognised in profit or loss.

HKFRS 3 specifies that the consideration transferred in a business combination, including the **contingent consideration**, shall be measured at fair value at the date of acquisition.

HKFRS 3 defines contingent consideration as, usually, an obligation of the **acquirer** to transfer additional assets or **equity interests** to the former owners of an **acquiree** as part of the exchange for control of the acquiree if specified future events occur or conditions are met.

However, contingent consideration also may give the acquirer the right to the return of previously transferred consideration if specified conditions are met.



Initial classification of contingent consideration

The consideration the acquirer transfers in exchange for the acquiree includes any asset or liability resulting from a contingent consideration arrangement. The acquirer shall recognize the acquisition-date fair value of contingent consideration as part of the consideration transferred in exchange for the acquiree.

The acquirer shall classify an obligation to pay contingent consideration:

- as a liability, or
- as equity

on the basis of the definitions of an equity instrument and a financial liability in HKAS 32 *Financial Instruments: Presentation*, or other applicable HKFRSs.

According to HKAS 32.16, when an issuer determines whether a financial instrument is a financial liability or an equity instrument, the instrument is an equity instrument if, and only if, both conditions (a) and (b) are met.

(a) The instrument includes no contractual obligation:

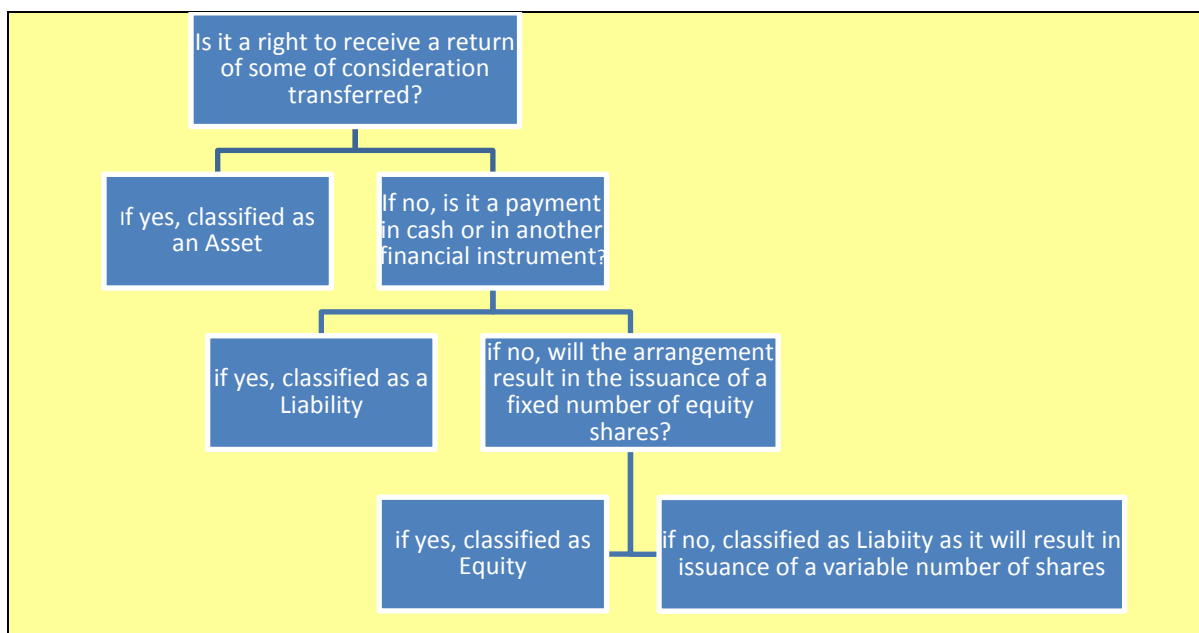
- (i) to deliver cash or another financial asset to another entity; or
- (ii) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the issuer.

(b) If the instrument will or may be settled in the issuer's own equity instruments, it is:

- (i) a non-derivative that includes no contractual obligation for the issuer to deliver a variable number of its own equity instruments; or
- (ii) a derivative that will be settled by the issuer exchanging a fixed amount of cash or another financial asset for a fixed number of its own equity instruments. For this purpose, the issuer's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the issuer's own equity instruments.

The acquirer shall classify as an asset a right to the return of previously transferred consideration if specified conditions are met.

Figure 1 Classification of contingent consideration



Example 1 – arrangement settled in a fixed number of shares

A acquires B in a business combination by issuing 10 million of A's shares to B's shareholders. A also agrees to issue 1 million shares to the former shareholders of B if B's profit before tax equals or exceeds \$10 million during the first year following the acquisition. How should the arrangement to issue the 1 million shares be classified?

Solution The arrangement shall be classified as equity under HKAS 32.16 because the contingent consideration arrangement will result in the issuance of a fixed number of A's equity shares if the target is met.

Example 2 – arrangement settled in a variable number of shares

A acquires B in a business combination by issuing 10 million of A's shares to B's shareholders. A also agrees to issue 1 million shares to the former shareholders of B if B's profit before tax equals or exceeds \$10 million during the first year following the acquisition.

However, if B's profit before tax exceeds \$10 million, A will issue an additional 1 million shares for each \$1 million increase in profit before tax in excess of the first \$10 million, but limited to 10 million additional shares (that is, 20 million total shares for profit before tax of \$20 million or more). How should the arrangement to issue additional shares be classified?



Solution

A should assess the contingent consideration arrangement to determine whether each of the performance targets represents a separate contract.

According to HKAS 39.AG29, multiple embedded derivatives in a single instrument are generally treated as a single compound embedded derivative. If an instrument has more than one embedded derivative and those derivatives relate to different risk exposures and are readily separable and independent of each other, they are accounted for separately from each other.

In this case, the contingent consideration arrangement is likely to be one contractual arrangement because the number of A's shares that could be issued under the arrangement is variable and relates to the same risk exposure (i.e. the number of shares to be issued will vary depending on the profit before tax in the first year following the acquisition).

According to HKAS 32.11, a contract that will or may be settled in the entity's own equity instruments and is a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments shall be a financial liability.

Therefore, the arrangement shall be classified as a liability as it will result in the issuance of a variable number of shares.

Subsequent accounting for contingent consideration

1. Additional information for facts existed at acquisition date

Some changes in the fair value of contingent consideration that the acquirer recognises after the acquisition date may be the result of additional information that the acquirer obtained after that date about facts and circumstances that existed at the acquisition date. Such changes are measurement period adjustments.

Measurement period

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the acquirer shall report in its financial statements provisional amounts for the items for which the accounting is incomplete. During the measurement period, the acquirer shall retrospectively adjust the provisional amounts recognised at the acquisition date to reflect new information obtained about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date.

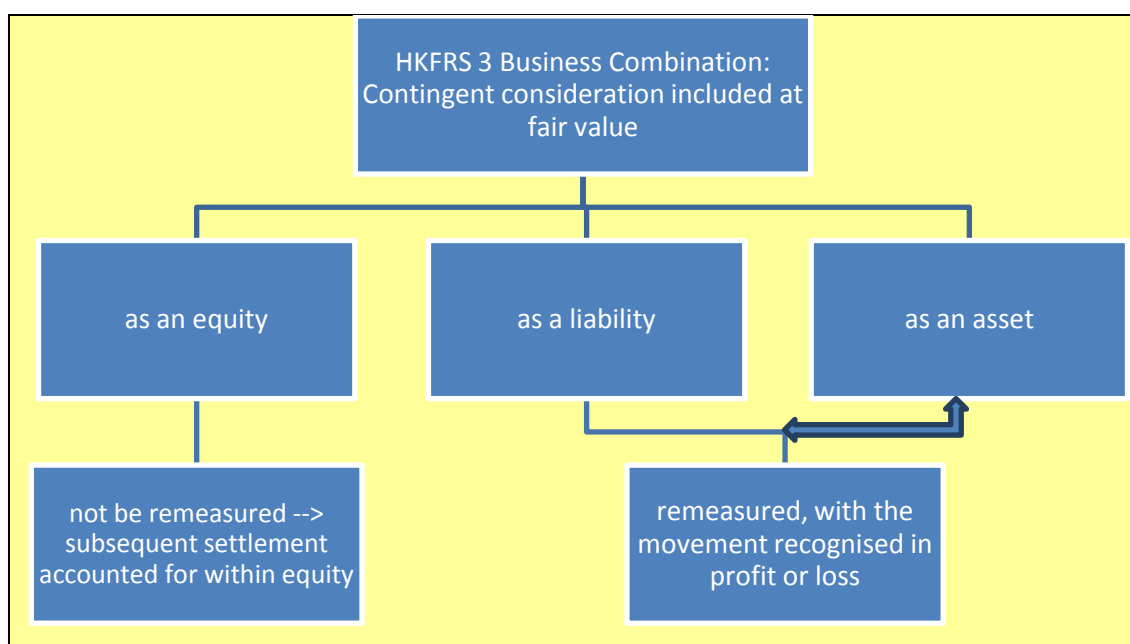
During the measurement period, the acquirer shall also recognise additional assets or liabilities if new information is obtained about facts and circumstances that existed as of the acquisition date and, if known, would have resulted in the recognition of those assets and liabilities as of that date. The measurement period ends as soon as the acquirer receives the information it was seeking about facts and circumstances that existed as of the acquisition date or learns that more information is not obtainable. However, the measurement period shall not exceed one year from the acquisition date.

2. Changes resulting from events after acquisition date

Changes resulting from events after the acquisition date, such as meeting an earnings target, reaching a specified share price or reaching a milestone on a research and development project, are not measurement period adjustments. The acquirer shall account for changes in the fair value of contingent consideration that are not measurement period adjustments as follows:

- (a) Contingent consideration classified as equity shall not be remeasured and its subsequent settlement shall be accounted for within equity.
- (b) Contingent consideration classified as an asset or a liability that:
 - (i) is a financial instrument shall be measured at fair value, with any resulting gain or loss recognised either in profit or loss or in other comprehensive income.
 - (ii) is not a financial instrument shall be accounted for in accordance with HKAS 37 "Provisions, Contingent Liabilities and Contingent Assets" or other HKFRSs as appropriate.

Figure 2 Subsequent accounting for contingent consideration



Example 3 – subsequent accounting for contingent consideration

On 1 January 2015, A acquires 100% of B in a business combination by paying \$20 million in cash and issuing 10 million of A's shares (with a fair value of \$50 million) to B's shareholders. A also agrees to issue 1 million shares to the former shareholders of B if B's profit before tax equals or exceeds \$10 million for the year ended 31 December 2015. The fair value of the contingent consideration on 1 January 2015 is \$2 million. What is the impact of the contingent consideration on the consideration transferred as at the date of acquisition and as at 31 December 2015?

(HKICPA Module A June 2015, adapted)

Solution

According to HKFRS 3.37, the consideration transferred in a business combination shall be measured at fair value, which shall be calculated as the sum of the acquisition-date fair values of the asset transferred, liabilities incurred and the equity interests issued by A.

HKFRS 3 specifies that the consideration transferred in a business combination, including the **contingent consideration**, shall be measured at fair value at the date of acquisition.

The consideration transferred by A is the aggregate of:

- the cash (\$20 million),
 - the fair value of the shares issued (\$50 million) and
 - the fair value of the contingent consideration (\$2 million)
- at the date of acquisition.

Therefore consideration transferred = \$20 million + \$50 million + \$2 million = \$72 million.

Since the arrangement will or may be settled in the issuer's own equity instruments and it is a non-derivative that includes no contractual obligation for the issuer to deliver a variable number of its own equity instruments, the contingent consideration should be classified as an equity instrument under HKAS 32.

Contingent consideration classified as equity shall not be remeasured and its subsequent settlement shall be accounted for within equity.

Therefore, as at 31 December 2015, if B fails to meet the target profit before tax of \$10 million, no remeasurement is required.

If B fulfills the target profit of \$10 million as at 31 December 2015, A will issue 1 million shares to the former shareholders of B and this subsequent settlement shall be accounted for within equity, i.e. Cr Equity.



Conclusion

The accounting for contingent consideration depends on the classification, which sometimes is not obvious. Contingent consideration may be classified as an asset or as a liability, which requires remeasurement at each subsequent reporting period, with the changes in fair value being recognised in profit or loss, and thus it brings in volatility in the reported profit. However, if the contingent consideration is classified as equity, subsequent remeasurement is not required and the settlement is only accounted for within equity. Therefore, understanding the accounting implications of contingent consideration prior to the merger and acquisition can be critical to evaluate alternative terms as offered by the acquirer and the seller in a merger and acquisition deal.

About the author

Dr. K. P. Yuen BA, MBA, DBA, CPA, FCCA, ACS, ACIS,
The Hong Kong Polytechnic University